Schumpeter—most famous for his description of capitalism as "creative destruction"[35]—Williams's thesis closely mirrored Graham's worldview: a security's price and its intrinsic value were distinct properties. William's innovation was that the intrinsic value could be calculated by the present value of its future cash flows. In his 1992 Berkshire Hathaway, Inc. Chairman's Letter, Buffett described Williams's theory as it applies to businesses, stocks, and bonds:[36]

> *In* The Theory of Investment Value, *written over 50 years ago, John Burr Williams set forth the equation for value, which we condense here:* The value of any stock, bond or business today is determined by the cash inflows and outflows—discounted at an appropriate interest rate—that can be expected to occur during the remaining life of the asset. *Note that the formula is the same for stocks as for bonds. Even so, there is an important, and difficult to deal with, difference between the two: A bond has a coupon and maturity date that define future cash flows; but in the case of equities, the investment analyst must himself estimate the future "coupons." Furthermore, the quality of management affects the bond coupon only rarely—chiefly when management is so inept or dishonest that payment of interest is suspended. In contrast, the ability of management can dramatically affect the equity "coupons." The investment shown by the discounted-flows-of-cash calculation to be the cheapest is the one that the investor should purchase—irrespective of whether the business grows or doesn't, displays volatility or smoothness in its earnings, or carries a high price or low in relation to its current earnings and book value. Moreover, though the value equation has usually shown equities to be cheaper than bonds, that result is not inevitable: When bonds are calculated to be the more attractive investment, they should be bought.*

Williams's *discounted cash flow* theory of intrinsic value is the foundation of modern finance, and forms the intellectual basis for a variety of valuation models. Buffett took William's discounted cash flow theory and extended it to properly value growth in a business. According to Buffett, measures traditionally used in business valuation—book value, earnings, and growth—were flawed in their application. Intrinsic business value was "*the measurement that really counts*," Buffett emphasized in his 1983 *Chairman's Letter*:

> *Book value's virtue as a score-keeping measure is that it is easy to calculate and doesn't involve the subjective (but important) judgments employed in calculation of intrinsic business value.*